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IDEA

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Japan Rates Strategy | Japan

Downward Repricing of the Inflation Risk Premium

We argue that the recent outperformance of the belly reflects a downward repricing of excessive inflation risk premium as the market increasingly focuses on "real" economic data. While the Middle East situation remains fluid, we see scope for a further belly-led rally under both "de-escalation" and "escalation" scenarios.

Key Takeaways

- Earlier market concerns centered on the BoJ potentially falling “behind the curve,” particularly after the strong April CGPI print. Rising JGBi breakevens also reinforced fears for a second-round effect.
- However, actual consumer inflation data (excluding temporary factors) have been softer. April nationwide CPI showed slowing in core-core and “US-style” core inflation, despite energy-driven headline pressure.
- The recent resilience of the belly suggests markets are shifting focus from "forward looking" inflation overshoot risk to "real" economic data.
- We see further rally potential in the belly as it still prices in ample inflation risk premium, and we maintain a 5y JGB outright long position.
- In contrast, we see the super-long sector remaining vulnerable to fiscal expansion concerns, including potential “bridging bonds” and relief spending.

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Interest Rate Strategy

Japan | Downward Repricing of the Inflation Risk Premium

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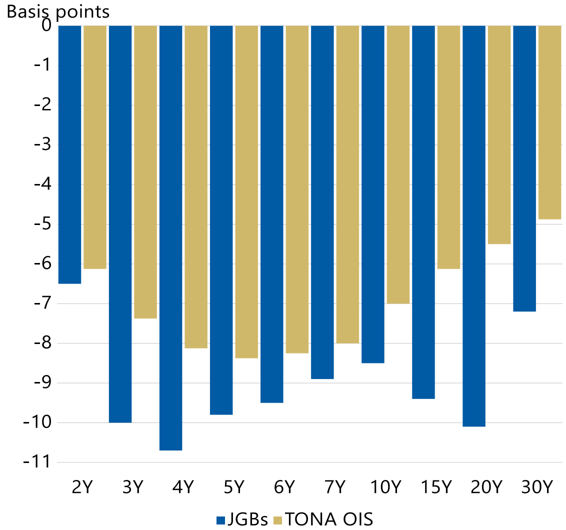
Downward repricing of the inflation risk premium

The belly sector of the JGB yield curve outperformed markedly this week (see Exhibit 1). As we discussed in "Switching to Outright Long on the Belly", an excessive inflation risk premium appeared to have been priced into the belly zone amid market concerns about the risk of the BoJ falling "behind the curve".

However, our discussions with clients this week have left us with the impression that **many are starting to feel that the BoJ's terminal policy rate level might very well end up being lower than is currently priced in.**

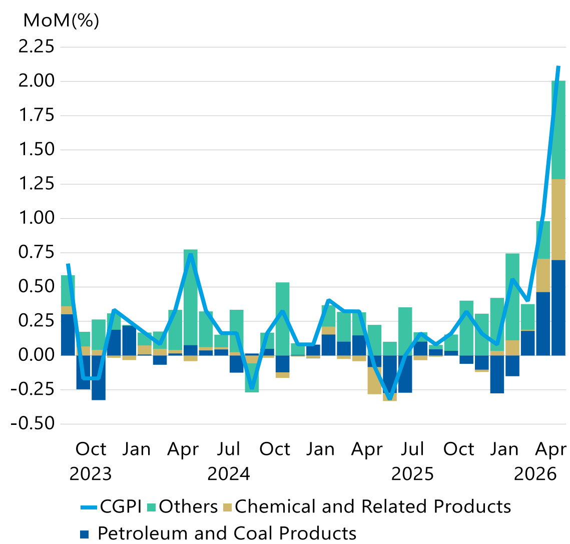
A big upside surprise in the BoJ's corporate goods price index (CGPI) for April—with prices climbing particularly sharply for "petroleum and coal products" and "chemicals and related products"—seemingly fueled expectations that a continuing lack of progress in Middle East peace negotiations could trigger a significant inflation overshoot and thereby force the central bank's hand on additional rate hikes (see Exhibit 2).

Exhibit 1: Weekly change in yield in both JGB and OIS space



Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Japan Corporate Goods price Index MoM



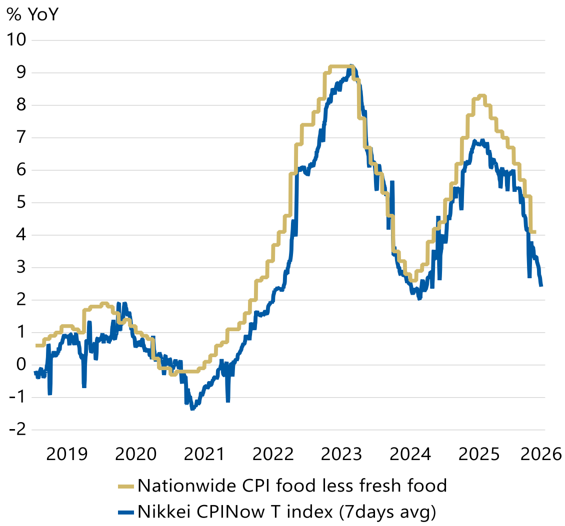
Source: BoJ, Morgan Stanley research

JGBi breakevens have meanwhile continued to strengthen, which may also have given market participants cause to contemplate a scenario in which increasingly aggressive corporate pricing behavior starts to feed through to the prices faced by consumers. With BoJ officials having moreover acknowledged such a possibility, the net upshot appears to have been an acceleration in positioning premised on “behind the curve” risk.

Consumer price trends have however been telling a different story. The Nikkei CPINow index points to continuing disinflation even in May (as we discussed in "Switching to Outright Long on the Belly") (see Exhibit 3), and the slightly less timely Tokyo CPI data for May have subsequently painted a similar picture.

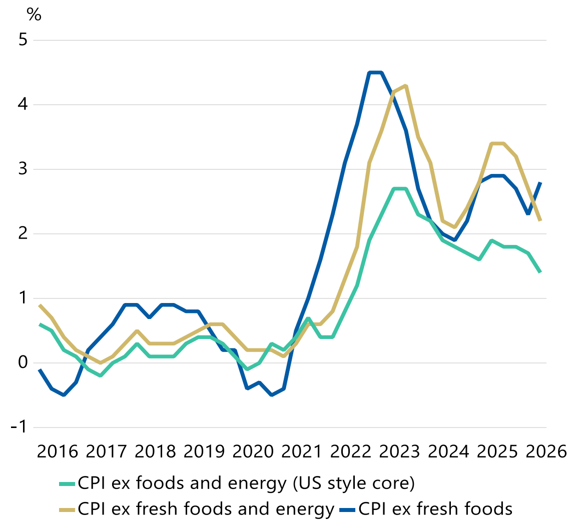
Moreover, while the nationwide CPI numbers for April did show a quickening of year-on-year inflation for the BoJ’s core gauge excluding fresh food and institutional factors (reflecting the recent surge in energy prices), core-core inflation (excluding energy as well as fresh food) and “US-style” core inflation (excluding all food and energy) meanwhile slowed in a manner consistent with the CPINow trajectory (see Exhibit 4).

Exhibit 3: Nikkei CPI T Index (y/y) vs. Nationwide CPI food less fresh food



Source: Nowcast, Morgan Stanley Research

Exhibit 4: Nationwide CPI inflation excluding special factors



Source: BoJ, Morgan Stanley Research

Teikoku Databank’s May survey (only Japanese is available) of 195 major food manufacturers points to the number of June price hikes being well down from 2025 and moreover shows “higher ingredient and raw material costs” having taken over from other justifications for raising prices (such as “higher labor costs”) by comparison with the start of this year.

This change in stance could quite conceivably be attributable to firms fearing a backlash from consumers if price hikes go beyond what can be readily explained in terms of higher ingredient costs.

To summarize: whereas markets initially adopted a forward-looking perspective in worrying about the potential for the Middle East conflict to trigger excessive inflation, they since appear to have started to dial back their assessments of inflation overshoot risk after seeing further slowdowns in actual inflation measurements.

BoJ Governor Kazuo Ueda’s opening remarks to an international conference on May 27 may have also served as a catalyst as he used the examples of previous oil shocks to explain that “initial conditions matter enormously” (with regard to, for example, wages and price expectations) when it comes to eventual inflationary impact.

Ueda's prepared text did concede that "the recent episode became more persistent than the oil price surge of the mid-2000s", but then immediately added that "Still, Japan has not experienced an early 1970s-style wage-price spiral. Medium- to long-term inflation expectations have shifted only modestly upward from a long entrenched near-zero level to a range of 1.5–2+%, depending on the measure".

This assessment might very well have helped to alleviate what appeared to be somewhat excessive concerns about upside inflation risk.

Middle East situation remains in a constant state of flux

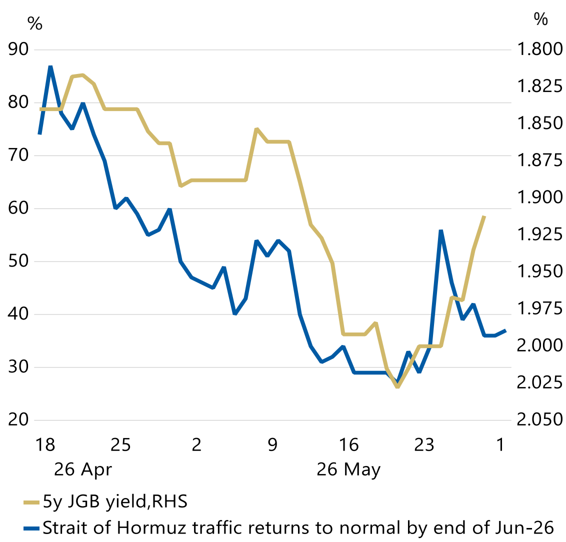
As of early this week there were hopes that the US and Iran might be getting closer to reaching an agreement on a memorandum for a permanent ceasefire. However, tensions remain elevated, with renewed incidents this week, and with Polymarket showing a decline from close to 50% to around 30% in the perceived probability of Strait of Hormuz traffic returning to normal by the end of June (see Exhibit 5).

While optimism around a potential MoU has been fueled by press reports that U.S. and Iranian negotiators have reached an agreement on a 60-day MoU, the situation still remains uncertain with no official announcement from either side at the time of writing.

The belly zone of the curve has previously tended to underperform when inflation concerns were fueled by escalations of Middle East tensions, but the differing reaction seen over the past couple of days is strongly suggestive of markets no longer being quite so concerned about the risk of an inflation overshoot (see Exhibit 5).

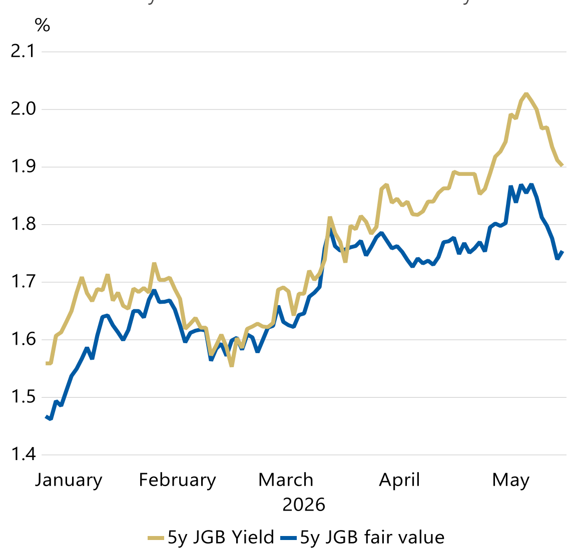
We as yet see ample potential for a further rally in the belly zone as markets seemingly start to focus more on how a protracted Middle East conflict might impact the real economy, and as such suggest sticking with previously recommended 5y JGB outright longs (see Exhibit 6).

Exhibit 5: Polymarket: probability of Strait of Hormuz traffic returning to normal versus 5y JGB yield



Source: Polymarket, Morgan Stanley Research, Bloomberg

Exhibit 6: 5y JGB fair value versus actual yield level



Source: Morgan Stanley Research, Bloomberg

Super-long sector still weak

Continuing instability does however appear likely further out the curve, with markets seemingly worried that an extended blockade of the Strait of Hormuz could ultimately cause the Takaichi administration to spend even more on fiscal “relief” measures.

Moreover, some media agencies have reported that the government plans to lay out a framework in its forthcoming “Basic Policy on Economic and Fiscal Management and Reform” for using so-called “bridging bonds” to fund a portion of promised spending on growth strategy measures and “crisis management investment”.

Such bonds would be categorized separately from special deficit-financing bonds and—like “Children Special Bonds”, “GX Economy Transition Bonds”, and “Semiconductors and AI Bonds”—issued with guarantees on specific means to pay for redemption.

The government is more specifically saying that the bonds will be repaid using future returns on “growth investments”. Issuance might thus be considered fiscally “neutral” at least from an accounting perspective inasmuch as it should not cause either the debt-to-GDP ratio or the primary balance to deteriorate.

However, the net upshot will still be an increase in supply of bonds. Given current market conditions we would expect the MoF to focus primarily on issuance of T-bills and retail JGBs that should have only limited impact in terms of supply of interest rate risk to the secondary market.

There is however still uncertainty as to whether future “growth investment” returns will be sufficient to cover redemption obligations, and we accordingly see risk of a further selloff in the super-long sector if offshore investors lack confidence in the debt repayment plan and effectively view the proposed bridging bonds as being no different from special deficit-financing bonds.

In the aforementioned “Basic Policy on Economic and Fiscal Management and Reform”, the government also plans to reflect the National Council on Social Security’s interim assessment of plans for a refundable tax credit scheme and a consumption tax cut.

As we discussed in "Switching to Outright Long on the Belly", while the government has proposed permanent funding sources for such measures it is, at least as of now, yet to identify what those sources might be.

We would thus not be at all surprised if the 10y+ portion of the JGB market were to see another sharp selloff (reminiscent of mid-May) due to the overseas investors who are currently shouldering most of the burden of absorbing super-long JGB issuance becoming increasingly concerned about fiscal expansion pressures.

The 30y sector in particular looks especially likely to lag behind the belly zone under a “declining yields” scenario given that valuation-sensitive investors already appear to have quite significant exposure, for which reason we also suggest sticking with 30y JGB ASW short positions.

Trade Idea: Maintain 5y JGB outright
Trade Idea: Maintain Short 30y JGB ASW
Trade Idea: Maintain receive July MPM OIS

Valuation Methodology and Risks

Below, you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Exhibit 7: Trade ideas: Valuation methodology and risks

Interest Rate Strategy				
TRADE	**ENTRY LEVEL**	**ENTRY DATE**	**RATIONALE**	**RISKS**
Receive July BoJ MPM OIS	97.1bp	5/15/2026	While it is not our economists' base case, if the Strait of Hormuz remains effectively closed beyond July, our economists see the risk of the BoJ maintaining the status quo for longer as the signs of supply disruption emerge.	Risk to the trade include consecutive BoJ rate hikes on June and July MPM.
Short 30y JGB ASW	57.3bp	5/15/2026	We expect renewed fiscal concern to make offshore investors reluctant to buy long-end JGBs, thereby leading to the cheapening of ASW.	Risk to the trade include strong demand for long-end JGB ASW to persist on the back of its attractive carry profile.
Buy 5y JGB outright	1.858%	4/10/2026	We think the belly of the curve already prices in enough inflation risk premium. Shifting either "de-escalation" or "Effective closure" scenario should lead to a lower inflation term premium.	The main risk to this trade is that soaring energy prices cause medium- to long-term inflation expectations to strengthen yet further.

Source: Morgan Stanley Research

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